

Trip.com Group Ltd (NasdaqGS: TCOM / SEHK: 9961)

LONG | Price target \$61 (+32%) | 2026-06-14

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Rating	LONG
Price target (12-month, FY2027E)	\$61
Current price (2026-06-12)	\$46.47
Upside to target	+32%
Bull / Bear	\$86 (+85%) / \$32 (-31%) · skew 2.8×
Market cap	~\$32bn (~690M ADS)
Reporting currency	RMB (target in USD/ADS at FX 6.76 RMB/USD)

Thesis in one line. At a three-year-low multiple the market is pricing a *severe* SAMR outcome that precedent says is usually absorbable; on a benign ruling the multiple re-rates from ~12.4×, and you own two operating call options — international margin inflection and a durable China core — while you wait.

Financial estimates — base case (RMB M)

	FY2025A	FY2026E	FY2027E	FY2028E (cons.)
Net revenue	62,409	69,564	76,770	89,500
Y/Y growth	+17%	+11%	+10%	+12%
Gross margin (structural)	80.6%	80.5%	80.5%	—
Operating income	15,773	17,206	18,972	22,634
Operating margin	25.3%	24.7%	24.7%	25.3%
Clean EPS (RMB)	22.1	24.6	27.6	—
Clean EPS growth	—	+11%	+12%	—

FY2025A audited per 20-F filed 2026-04-28. FY2026E–FY2027E from internal model (base case) [computed, model]; full schedule in Appendix A. EPS is **clean / ex-one-off** (excludes the FY2025 RMB19.9bn investment gain [20-F FY2025 Note 7] — see Section 1). FY2028E shown is CapIQ headline consensus, for outer-year reference only [CapIQ]. The model is valued on **FY2027E clean EPS × exit P/E** (no DCF — the payoff is a multiple re-rate).

1. Business Overview

What Trip.com Group does and how it makes money

Trip.com Group is **the dominant online travel agency (OTA) for Chinese travellers and the fastest-growing challenger OTA for travellers everywhere else**. A user opens one of its apps, books a hotel room, flight, train ticket or packaged tour, and TCOM collects a commission from the hotel or airline for delivering the booking. It owns no hotels or planes — it is an agent on “substantially all” of its hotel and air transactions, carrying almost no inventory risk [20-F FY2025 Item 4]. It runs four brands — **Ctrip** (core China), **Qunar** (China value/price-comparison), **Trip.com** (the international app, 27 languages) and **Skyscanner** (global flight metasearch) — with over 90% of orders on mobile.

Revenue is earned across five commission-based lines [20-F FY2025 Item 8]:

Segment	FY2025 (RMB M)	% total	YoY	How it is earned
Accommodation reservation	26,100	42%	+21%	commission from hotels (the profit centre)
Transportation ticketing	22,489	36%	+11%	commission on air/train/bus tickets
Packaged tours	4,688	7%	+8%	referral fees from tour partners
Corporate travel (Trip.Biz)	2,829	5%	+13%	service fees from corporate clients
Other (advertising + fintech)	6,303	10%	+38%	ad fees + financial-service fees

The asset-light agency model is the source of a structurally high **~81% gross margin** — “cost of revenue” is mostly customer-service and payment labour, not room or seat cost [20-F FY2025 Item 5]. By online-channel location, revenue is **~83% Greater China / ~17% international**, with the international share rising 13% → 15% → 17% over FY2023–25 and growing +40% in FY2025 [20-F FY2025 Note 20]. The balance sheet is **deeply net-cash**: RMB105.8bn of cash and investments against RMB30.8bn of debt (almost all convertibles), and capital return switched on in 2025 — a first-ever dividend, US\$613M repurchased, and an **August 2025 US\$5bn buyback authorization** still largely unused against the ~US\$32bn cap [20-F FY2025 Item 5 / Note 2].

The single most important thing to understand about FY2025 earnings

Reported net income nearly doubled to RMB33.3bn and diluted EPS jumped to RMB47.67 — but **almost none of that is operating growth**. RMB19.9bn was a one-off, non-operating investment gain, chiefly a RMB15.2bn realized gain on selling ~34M MakeMyTrip shares for US\$3.0bn [20-F FY2025 Note 7]. Strip the portfolio out and the operating engine grew far more modestly: **operating income rose only +11% on +17% revenue, so operating margin actually compressed ~1.3pp to 25.3%** [20-F FY2025 Item 5; computed]. This memo values the **clean operating engine** — clean EPS ~RMB22.1 in FY2025, *not* the RMB47.67 headline. The whole stock is best understood as **a steady low-teens-growth operating business wrapped around a lumpy equity portfolio**, and the trailing 6.6× headline P/E is an artefact of that one-off, not a real multiple [computed].

Operating economics — the margin trajectory that frames the thesis

	FY2022	FY2023	FY2024	FY2025
Net revenue (RMB M)	20,039	44,510	53,294	62,409
Operating income	88	11,324	14,177	15,773
Operating margin	0.4%	25.4%	26.6%	25.3%

FY2022 was COVID-suppressed; FY2023 was the reopening snapback (+122%). The clean read starts there: revenue and operating income decelerating from the reopening peak, with **margin rolling over in FY2025 as sales & marketing (S&M) outran revenue** — S&M rose to 23.9% of revenue for the year and spiked to ~29% in Q4 2025, the proximate cause of the Q4 operating-income miss [20-F FY2025 Item 5; press releases Q1–Q4 2025]. That S&M step-up is not deterioration of the core; it is the deliberate funding of the international build-out (Section 3, Thesis 1). The two structural tensions to hold onto: **(1)** the operating-engine-vs-investment-portfolio split above, and **(2)** the international growth-vs-margin trade-off that the S&M line embodies.

2. Industry & Competitive Position

Market structure

TCOM plays in two markets at once: its **China profit core**, where it is the dominant OTA, and the **global/outbound frontier**, where it is a fast-growing Asian challenger. The China online-travel market is ~US\$105bn in 2025, forecast at a ~15% CAGR toward ~US\$210–245bn by 2030–31, of which accommodation is ~42% [Mordor Intelligence; Verified Market Research]. The market is a consolidated oligopoly — the top five players control ~89% of revenue, and **TCOM (Ctrip + Qunar) holds an estimated ~56% of the broad OTA market** and a higher share of high-star, business and outbound bookings [CBNData]. That dominance is the engine of the profit pool — and precisely why the company is now the textbook target of an antitrust probe (Section 3, the overarching call).

Monetization vs Western peers — under-monetized, but for structural reasons

TCOM monetizes bookings at a far lower blended rate than the Western incumbents (~5.7% vs ~14.5% at Booking), but most of that gap is **mix** — TCOM's GMV is weighted to thin-commission, regulated transport ticketing [est, computed from FY2025 results]. Hotel-to-hotel the gap narrows: TCOM accommodation take is ~9–11% vs Booking's ~15% base [est, computed; Booking partner docs]. The residual gap is pricing power and mix, not the payment model. The naïve read — “TCOM should converge to Booking's 15%” — is **blocked by the very forces in this brief: China's competitive intensity and, now, regulation pushing the take-rate down, not up.**

Competitive set and moats

Player	Arena	Key strength vs TCOM	Key weakness vs TCOM
Meituan	China, direct	~1bn-user super-app cross-sells hotels; up-market push	Weak in outbound, premium business, air
Tongcheng (TCOM owns ~27%)	China, direct/affiliate	Weixin funnel, lower-tier reach	Sub-scale in premium/outbound
Douyin (ByteDance)	China, emerging	Content/interest commerce, near-zero traffic cost	Shallow fulfillment/service depth
Booking / Expedia / Airbnb	International	Scale (~3× revenue), entrenched in West	Weak in mainland China; less integrated transport

The durable moat sits in the **China premium / outbound / complex-itinerary / corporate core** — built on supply-side density (~1.7M properties, >680 airlines), demand-aggregation scale (~56% share, >100M MAU), one-stop multi-product integration, and brand — **not** on consumer lock-in, which leaks via cheap multi-homing [20-F FY2025 Item 4; CBNData]. The moat is **wide around the profit pool and genuinely contested at the low-star / discovery edge**, where Meituan's owned traffic and Douyin's content are structurally cheaper. Two forces could squeeze the high-margin accommodation engine from both ends: regulation capping the take-rate from above, and low-cost-traffic competition pressing from below. That is the bear the industry structure makes available, and it runs through everything below.

3. Investment Thesis

The honest shape of this call. This is *not* a differentiated-operating-edge long. The call rests on a **mispriced regulatory overhang** — the market is pricing a severe SAMR outcome that precedent says is usually absorbable, and the payout is a multiple re-rate from a three-year low. That is the **overarching thesis** (stated first below). It is the *thesis-level driver* of the call — the *why-mispriced* and the payout channel — **not an operating pillar**: the audit grants exactly two operating pillars, and both *underwrite the base rather than supply the edge*. **Thesis 1 (international inflection)** carries a marginal operating edge (~+9.5% at the midpoint of its range) and **Thesis 2 (core durability)** adds no incremental upside by design — it defends the base [pillars_audited.md; computed]. Their job is to make the base **safe to own while the re-rate plays out**. We pitch it that way deliberately — alignment + a distressed setup + an asymmetric regulatory scenario, not invented operating differentiation. (The re-rate mechanics are in Section 5; the regulatory analysis that says it is absorbable is here.)

The overarching call — the SAMR overhang is over-priced; on any non-severe ruling the multiple re-rates from a 3-year low (*the thesis-level driver — not an operating pillar*)

Claim. TCOM trades at ~12.4× forward clean EPS — a three-year low and ~41% below its 52-week high — because a SAMR anti-monopoly investigation (opened 14 January 2026, still open) is feared to structurally compress the accommodation take-rate [CapIQ; Google Finance]. Precedent (Alibaba, Meituan) says the most likely outcome is a one-off fine plus behavioral remedies with share and take broadly intact. On any non-severe ruling, the de-rating reverses and the multiple re-rates from ~12.4× toward the 15–18× range it held pre-shock — **the payout channel for the entire long**.

Mechanism.

The investigation is real and a finding is the base case — SAMR formally opened a case (立案) against a ~56%-share gatekeeper, and 立案 rarely ends in no-action [company_brief §5; CBNDData]. But the case decomposes into a **one-off fine** and a **recurring remedy**, and they matter very differently:

- **The fine is one-off and balance-sheet-trivial.** At the Alibaba/Meituan precedent of 3–4% of China revenue, the fine is ~RMB1.6–2.1bn — ~1.5–2% of TCOM's RMB105.8bn liquidity. Even an 8–10% “severe” fine (~RMB4–5bn) is absorbable against the net-cash balance sheet [company_brief §5.5; 20-F FY2025]. The fine is not the thesis.
- **The recurring remedy is the swing variable — and the base prices a moderate commission compression, not zero.** Honest caveat: **this case is more commission-centric than the precedents**. Alibaba and Meituan were primarily exclusivity (二选一) cases; TCOM's grievance explicitly targets commission *mechanics* (调价助手, “excessive/opaque commissions”), so a remedy that touches the ~9–11% blended hotel take is more likely here than precedent alone implies — it is our own identified biggest structural risk [company_brief §5.6]. That is exactly why the base prices a **–10% effective take cut** [model] rather than the behavioral-only outcome. What precedent *does* cap is the **severity**: both Alibaba and Meituan kept share and take broadly intact under the same SAMR playbook [company_brief §5.4] — a moderate compression, not the –20% structural cap of the bear (×0.80) nor the behavioral-only bull (×1.00).
- **The 反内卷 framing cuts both ways — but it is not a free pass.** This is an *anti-involution* case attacking TCOM's *downward* pressure on merchant prices, so restoring pricing autonomy can *firm up* room rates, and since commission is a % of booking value, firmer ADRs lift commission RMB on the bookings TCOM keeps. **The catch is real and the other direction: dismantling 二选一 lets hotels multi-home, so some GMV migrates to Meituan / Fliggy / Douyin — a volume loss, not just a rate change — and ending 调价助手 removes the lowest-price weapon (share loss, or self-funded**

promos that lift S&M). So this is *not* “ambiguous, maybe positive”; it is **negative — but plausibly smaller than the market’s pure-rate-cut reading**, *provided* the demand-aggregation moat (Thesis 2: a ~56%-share billboard effect [CBNData], supply density, one-stop integration) keeps travellers starting on Ctrip even when hotels list everywhere. The base case bets that moat holds the volume and prices only a –10% rate cut [model]; the **volume-leakage** risk is exactly what the combined bear switches on (accommodation volume cut to +6–7%) and what **KC3** — accommodation revenue growth slipping below hotel-GMV growth — is built to catch [company_brief §5.3, §5.6].

The payout is the re-rate, and it is what carries the upside. Because TCOM is a single reportable segment, a benign outcome will not show up cleanly as a margin beat (see the entangled-margin note in Thesis 1) — it shows up as the multiple normalising. The base case applies a **15× exit P/E — below TCOM’s own ~16.5× three-year mean** (which already embeds its standing China-ADR discount), versus the ~12.4× trough today; 15× also sits ≈ where Booking trades, but the anchor is TCOM’s own history, not Booking-parity imposed on a China name. That re-rate, on a clean EPS base that itself compounds ~12%, is most of the +32% to the base target. The Street’s own median target (CapIQ ~29 analysts: RMB525 ≈ \$74, +57%) embeds a fuller re-rate toward ~17–20× — our base is deliberately more conservative on both the multiple and the earnings [CapIQ; computed].

Evidence. - ~12.4× forward clean EPS = a 3-year low; 52-week range \$45.93–\$78.99, spot ~1% above the low [CapIQ own-multiple history; Google Finance]. - SAMR precedent: Alibaba fined RMB18.2bn (4% of China revenue) Apr-2021; Meituan RMB3.4bn (3%) Oct-2021 — both fine + behavioral remedy, **share and take broadly intact** [company_brief §5.4, sourced to SAMR penalty announcements]. - Net-cash balance sheet: RMB105.8bn cash/investments vs RMB30.8bn debt — any plausible fine is absorbable [20-F FY2025; headline_anchors]. - The drawdown was a *regulatory* de-rating, not an operational break — Q4 2025 revenue beat (+3.6% vs consensus); the operating-income miss was the S&M-led international investment, not weak demand [company_brief §1b; CapIQ Surprise sheet].

Thesis 1 — International inflection, inbound-led (*the conditional operating upside*)

Claim. The international segment — roughly a RMB0.5–2bn annual operating drag today (~–5% to –17% margin, reconstructed) — inflects toward breakeven-plus over FY2027–28, lifting group operating margin by +1–3pp (~RMB1–2.5bn of OI) above the flat ~25% path the Street models, driven by APAC maturation and a high-margin, SAMR-independent inbound engine [pillars_audited.md; company_brief §2.1].

Mechanism.

The international build-out is the reason S&M rose and FY2025 margin compressed — it is a deliberate investment on ~17% of revenue, not the whole company de-rating [company_brief §2.1].

- **The lead market is maturing, not stalling.** APAC grew >50% and is the “largest contributor”; outbound runs >140% of 2019 levels; international OTA bookings grew ~60% in *every* quarter of 2025 [Q3/Q4 FY25 calls; press releases]. **Honest: this proves the demand leg, not yet the leverage leg** — a business can grow ~60% and still lose money (that is the bear, Risk 2). What the data establishes is that the lead market scales; whether that scale converts to operating leverage is the open question the S&M line will answer — and the reason this thesis is conditional, not proven.
- **The inbound engine is the cleanest, highest-quality leg — and it is SAMR-independent.** TCOM served ~20M inbound travellers in 2025 at ~100% YoY, against a structurally under-penetrated pool (inbound ~0.5% of China GDP vs 5–10%+ in peer economies), with visa-free access for 60+ countries as the unlock [Q4/FY25 call]. Inbound runs on TCOM’s *existing* China supply, so its incremental margin is structurally high [est — inbound margin is undisclosed; inferred from near-zero incremental supply cost], and it mixes the segment up regardless of the APAC margin path — and it sits entirely outside the SAMR take-rate question.
- **Management is on record that the margin has no structural cap.** On the Q3 2025 call: “*we do not see any structural limitations to our profit margins,*” and future margins “*could be comparable to those of*

international peers” [Q3/FY25 call]. In the model this is the S&M lever: base S&M leverages modestly (24.0% → 23.5%); the bull has it fall to 22.0% as international inflects.

Honest read — the entangled margin. This is why Thesis 1 is the *conditional* upside, not the edge. In the **base case the group operating margin does not visibly inflect** (24.7%, slightly below FY2025’s 25.3%) — because the SAMR take give-back (Thesis 1’s base remedy) offsets the S&M leverage inside the *single* reported margin line. International recovery (bullish) and take compression (bearish) flow into the same number and partially cancel. The inflection only becomes visible in the **bull case** (28.7% margin), where there is no economic take cut. So Thesis 1’s operating value is real but **conditional on the SAMR outcome not biting hard** — the two are entangled, which sharpens rather than breaks the thesis and is part of why conviction is Medium.

Evidence. - International “Other” geography revenue RMB10,810M, +40% YoY, ~17% of group [20-F FY2025 Note 20]; international OTA bookings +~60% YoY each quarter [press releases Q1–Q4 2025]. - ~20M inbound travellers served in 2025, +~100% YoY [Q4/FY25 call]. - Reconstructed international drag ~RMB0.5–2bn (the segment is undisclosed; this is the softest input, flagged [est]) — cross-checked against the +3.2pp group S&M de-leverage FY2023→25 (~RMB2.0bn, “driven by international”) [20-F FY2025 Item 5; company_brief §2.1].

Thesis 2 — China-core durability: the moat holds vs Meituan / Douyin / AI (the base the valuation capitalizes)

Claim. The China premium / outbound / complex / corporate profit pool is durable against competition and AI disruption. The moat defends exactly the high-value segment the attackers are weakest in, so the feared erosion is overstated and the ~RMB17bn earnings base the whole valuation capitalizes holds [pillars_audited.md].

Mechanism.

Thesis 2 adds no incremental upside — by design, it is defensive. Its job is to make the base safe to own.

- **The take rose through the competitive escalation.** In FY2025, accommodation revenue grew +21% on hotel-GMV +17% — the blended take went *up* ~3–4%, not down, while Meituan and Douyin were at their most aggressive [20-F FY2025 Item 8; computed] — the single hardest piece of evidence against “the moat is leaking.” **Two honest caveats:** part of that rise is *mix* (faster-growing high-take outbound / high-star), not purely rate defended segment-by-segment; and the same rising take is what **drew SAMR** — so the fact is bullish for durability and the source of the overhang at once.
- **The attackers are strong where TCOM’s profit isn’t.** Meituan and Douyin own low-star / impulse / discovery; TCOM’s profit pool is premium, outbound, complex and corporate, defended by one-stop air+rail+hotel+package integration, 24/7 multilingual service, supply density and corporate lock-in (>30 markets) [industry_brief §2].
- **AI threatens discovery, not the closed loop.** Management’s rebuttal: “*a true closed loop in travel requires deep integration with a complex global supply chain*” — and TCOM owns both the agent (TripGenie) and the supply integration [Q4/FY25 call]. The near-term risk is disintermediation of *research*, not of the transaction.

Evidence. - Accommodation revenue +21% on hotel-GMV +17% in FY2025 → blended take up ~3–4% [20-F FY2025 Item 8; computed]. - ~56% OTA share / ~70% incl. Qunar; dominant in high-star and outbound [CBNData]. - One-share-one-vote governance (rare among China ADRs), aligned founder with ~6.5% stake, net-cash balance sheet with buyback switched on [20-F FY2025 Item 6/7].

4. Risks

Three counter-theses survived steel-manning. The first is genuinely strong and only partly rejectable — it is *why* conviction is capped Medium, not High — and it maps directly onto the bear case in the model. The second and third are the disciplined mirrors of Theses 1 and 2.

Risk 1 — Severe SAMR structural take-rate compression (*the dominant bear*)

Bear claim. SAMR's remedy goes beyond a one-off fine to mandate a hard commission cap or forced commission-mechanism reform that **structurally and permanently compresses the ~9–11% accommodation take** — the highest-margin line — while the overhang keeps the multiple depressed. The –41% is then not an over-reaction but a re-rating to permanently lower earnings power, and “反内卷” is a structural campaign, not a one-off [company_brief §5.7].

Why I still hold the call: - Precedent base rate: comparable SAMR platform cases ended in fine + behavioral remedy with take broadly intact — structural take destruction is not the template [company_brief §5.4]. - Two-sided remedy, but no free pass: ending the coercive mechanisms (二选一 / 调价助手) lets hotels multi-home and removes the lowest-price weapon — a real volume-leakage risk — while restoring pricing autonomy firms ADRs and lifts commission RMB on retained bookings. Net is *negative but smaller than a pure-rate-cut*, bounded by the demand-aggregation moat — not “ambiguous” [company_brief §5.3, §5.6]. - Substantially priced: ~12.4× (3-year low), –41% off the high — the market already discounts a punitive outcome [CapIQ; Google Finance].

Severity if it plays out. This is the bear case: a –20% structural take cut + elevated S&M + a de-rate to a 10× exit multiple → FY2027 OI ~RMB14.4bn (19.4% margin), clean EPS ~RMB21.8, **PT \$32 (–31%)** — measured from an already –41%-de-rated \$46.47, so the spot has absorbed much of the fear; severe SAMR is roughly another –31% from here (to ~\$32), with the full structural-impairment tail at ~\$26. **Caught by KC5** (a mandated commission cap or take/margin compressing to the severe row and staying there). Honestly, this counter is *not fully rejectable* — the severe outcome is exogenous and unhandicappable; that is the trade, not a flaw in it.

Risk 2 — International is a perpetual S&M sink; Thesis 1's inflection never comes

Bear claim. International never reaches positive operating leverage — APAC competition keeps customer-acquisition cost permanently elevated, S&M never leverages, and “no structural margin cap” is an unguided aspiration. The drag persists and group margin keeps compressing, so Thesis 1's +RMB1–2.5bn upside is a mirage [risks.md; company_brief §2.1].

Why I still hold the call: - The lead market is scaling, not stalling (APAC >50% growth, “largest contributor”; outbound >140% of 2019) [Q3/Q4 FY25 calls] — this proves the *demand* leg; the operating-*leverage* leg is the open question, which is why this risk is only partly rejectable (conviction Medium). - S&M is ROI-disciplined by market maturity and channel, not open-ended [Q3/FY25 call]. - Inbound — the SAMR-independent leg, structurally high-margin [est — undisclosed; inferred from near-zero incremental China-supply cost] — mixes the segment up regardless of the APAC margin path [Q4/FY25 call].

Severity if it plays out. This is the bear's S&M leg (FY2027 S&M held at ~26% vs base ~23.5%), embedded in the \$32 bear. Mostly it cuts the *upside* (no margin inflection); but a *deepening* drag — TCOM chasing growth — would push margin below the base 24.7% and is genuine downside, not just foregone upside. The magnitude is the softest input (the drag is reconstructed). **Caught by KC1** (full-year S&M > 26% with no margin expansion).

Risk 3 — Competitive / AI erosion degrades the core; Thesis 2 is hope

Bear claim. Over a multi-year horizon, Meituan's up-market push + Douyin's content commerce + AI-agent disintermediation structurally erode TCOM's premium share and take; TCOM is forced into ever-higher S&M to defend the core, and "the moat holds" is unfalsifiable optimism [risks.md].

Why I still hold the call: - Empirically the core take *rose* through the escalation (+21% accommodation revenue on +17% hotel-GMV in FY2025) [20-F FY2025 Item 8] — partly mix, but at minimum not the take *erosion* the bear predicts. - The attackers are strongest where TCOM's profit isn't (low-star / discovery / impulse); integration + service + supply density + corporate lock-in defend the premium pool [industry_brief §2]. - AI threatens discovery, not the closed-loop transaction; TCOM owns the agent and the supply integration [Q4/FY25 call].

Severity if it plays out. Not a 12-month thesis-breaker — it is slow and proxy-monitorable — but, honestly, the largest *multi-year structural* risk to the franchise: the longer-horizon erosion of the very profit pool the whole valuation capitalises. If it combines with severe SAMR it feeds the **tail bear** (volume share loss + ad-fee cap + FX → ~\$26, -44%). **Caught by KC3** (accommodation revenue growth falling below hotel-GMV growth) and **KC4** (premium-share loss).

5. Valuation

Valued on **FY2027E clean EPS × exit P/E** — no DCF, because the payoff is explicitly a multiple re-rate, not a discounted-cash-flow compounding story. The scenario envelope below *is* the thesis: a distressed multiple that re-rates on a non-severe ruling, with two operating legs as call options on top. Full mechanics, the multiple triangulation and the income statement are in Appendix A; key drivers in Appendix B.

Bull / Base / Bear envelope (FY2027E)

Scenario	PT	vs Spot	Trigger
Bear	\$32	−31%	
Base	\$61	+32%	
Bull	\$86	+85%	

Risk/reward skew (Bull – Spot)/(Spot – Bear) = 2.8× — favorable asymmetry for a long, but the bear is genuine, which is why conviction is Medium. The base prices the *expected* remedy (a −10% commission glide), so it sits ~4–10% below the CapIQ headline consensus by design (FY2027 revenue −3.7%, OI −6.4%, NI −10.4%); the bull (behavioral-only) lands at or above consensus OI [computed; CapIQ]. **Tail bear: ~\$26 (−44%)** if severe SAMR combines with competitive share loss, an ad-fee cap and FX weakness — a separate, deeper stress scenario, not the central bear.

Why the multiple re-rate is the edge, stated plainly

The base +32% is *larger* than the operating theses' own edge (~+9.5% from Thesis 1 at midpoint [computed; pillars_audited.md]). The gap is **not** an error — it is the re-rate (12.4× → 15×) on a clean-EPS base that compounds ~12% [computed, model]. The operating theses underwrite the base; the **edge and the payout are the re-rate**, and that re-rate is owned and tracked by KC5. This is a re-rate call on a distressed regulatory setup, not an operating-beat call — and the pitch should not pretend otherwise.

Downside cushion — the cash floor

The bear is cushioned by an unusually large non-operating asset base: **~RMB75bn net cash + ~RMB22.4bn of marked-to-market listed stakes ≈ US\$14bn ≈ ~45% of the ~US\$32bn market cap** [20-F FY2025 Note 7; company_brief §1]. On an EV/EBITDA cross-check the operating business trades ~7× FY2027 EBITDA versus Booking's ~11.7× (part of that gap is the China-ADR / overhang discount, not pure cheapness), implying ~\$66 — above the P/E base, though largely on the net-cash add-back [model_summary §7; CapIQ]. The balance sheet is why a regulatory de-rating, not an operational break, defines the downside.

Tornado — top assumptions by target leverage

Each driver flexed across its bear↔bull range, others held at base (\$61); FY2027E PT impact [computed, model]:

Rank	Assumption	Flex (bear ↔ bull)	± PT impact	Linked
1	Exit P/E (re-rate)	10× ↔ 18×	−33% / +20%	the overarching call
2	SAMR take multiplier	×0.80 ↔ ×1.00	−12% / +12%	overarching call / Risk 1

Rank	Assumption	Flex (bear ↔ bull)	± PT impact	Linked
3	S&M ratio (international leverage)	26% ↔ 22%	-9% / +5%	Thesis 1
4	Accommodation volume growth	+6% ↔ +16%	-2% / +1%	Thesis 2

The top two bars are both the **SAMR axis** (exit multiple + take lever); note **accommodation volume is a trivial ±2% lever** [computed, model] — the operating pillars barely move the target. This is, honestly, a **one-axis thesis**: the regulatory/valuation outcome dominates the operating theses, and we do not engineer that away — it is the trade, and it is why conviction is capped Medium and KC5 is the master tripwire.

6. Catalysts and Killing Conditions

The killing conditions are the defensibility lock — each is pre-specified, observable and thesis-linked. When one fires, the rating must be revisited; that is the deal made at publication.

Catalyst calendar

Date	Event	KC tested
24/25 Jun 2026	Q1 2026 results — first 2026 data point; management SAMR framing	KC1, KC2, KC3
Ongoing (timing unknown)	SAMR ruling — the dominant catalyst; resolves the take-rate question	KC5
Each subsequent print	Accommodation-vs-GMV take proxy, S&M %, inbound growth	KC1–KC4
Pending	<i>De Wilde v. Trip.com</i> securities class action (second-order, likely D&O-covered)	—

Killing conditions (verbatim, thesis-linked)

Thesis 1 — International inflection

1. **KC1** — FY2026 **full-year** S&M rises above **26% of net revenue** (vs 23.9% FY25 [20-F FY2025 Item 5]; calibrated above base ~24%) without group operating margin expanding, **OR** group operating margin declines YoY in **both** FY2026 and FY2027. (*JOINT Thesis 2: if S&M rises to defend the core, that also negates durability.*)
2. **KC2** — inbound bookings growth falls below **+20% YoY for two consecutive quarters** [threshold; base +25–40%], **OR** TCOM ceases disclosing “inbound travelers served” / drops inbound from its stated strategic priorities.

Thesis 2 — China-core durability

3. **KC3** (*highest-weight joint trigger*) — China **accommodation revenue growth falls below hotel-GMV growth for two consecutive reporting periods** (the take-rate proxy turns negative — vs +21% on +17% in FY25 [20-F FY2025 Item 8]). (*JOINT Thesis 1 + SAMR: a falling take cuts the margin math AND is the signature of a mandated take compression — you cannot tell competition from regulation apart; both are thesis-negative.*)
4. **KC4** — credible evidence (management acknowledgment or third-party data) that TCOM is **losing high-star / business-hotel share** to Meituan/Douyin, or that it must structurally raise S&M to hold premium share.

Thesis-level — the dominant tripwire

5. **KC5** — the SAMR ruling imposes a **mandated hard commission cap or forced commission-mechanism reform** (beyond a one-off fine + behavioral remedy), **OR** a fine materially above **~4% of China revenue** [vs Alibaba/Meituan precedent, company_brief §5.4], **OR** realized China accommodation take/segment margin compresses toward the “severe” sensitivity [company_brief §5.7] and *stays* there post-remedy. This resets earnings power *and* keeps the multiple compressed — it breaks the base case and the re-rate simultaneously.

Appendix A — Valuation

Methodology

Forward **P/E on clean EPS** is the lead method; an EV/EBITDA cross-check is run as a sanity check. The headline is **FY2027E** (a full year past the FY2026 SAMR phase-in); FY2026E is shown as the nearer checkpoint. Clean EPS **excludes one-off investment / fair-value gains** (chiefly the FY2025 RMB19.9bn MakeMyTrip-driven gain [20-F FY2025 Note 7]) and is struck consistent with how the OTA peer set is quoted on forward earnings. Working currency RMB; output USD/ADS at current spot FX 6.76 [WebSearch, 2026-06-12]. No discount-back is applied (the FY2027E fair value is taken as the 12-month target).

Income statement — base case (RMB M)

	FY2025A	FY2026E	FY2027E
Total revenue (gross, pre-remedy)	62,409	70,754	79,393
less: SAMR commission give-back	0	-1,190	-2,623
Net revenue (reported)	62,409	69,564	76,770
— y/y growth	+17%	+11%	+10%
Gross profit (realised)	50,302	55,767	61,288
— realised gross margin	80.6%	80.2%	79.8%
— memo: structural GM (pre-remedy)	80.6%	80.5%	80.5%
Total operating expense	34,514	38,561	42,316
Operating income	15,773	17,206	18,972
— operating margin	25.3%	24.7%	24.7%
Net interest + affiliates	2,507	2,900	3,200
Tax (15%) / minority	-2,834	-3,116	-3,426
Net income (clean, ex one-off)	15,446	16,990	18,746
Diluted ADS (M)	698	690	680
Clean EPS (RMB)	22.1	24.6	27.6
— clean EPS y/y growth	—	+11%	+12%

Ties to FY2022–25 actuals (revenue 20,039 / 44,510 / 53,294 / 62,409; OI 88 / 11,324 / 14,177 / 15,773) [20-F FY2025 Item 8; 20-F FY2023 for FY2022]. The give-back line is the base-case SAMR remedy (–5% FY2026 partial, –10% FY2027 steady-state) applied to the ~RMB23–26bn China-domestic accommodation base; it cuts revenue but not cost, so realised margin sits below the 80.5% structural input — by design, not error.

Multiple selection — triangulation (forward P/E)

Anchor	Range	Read
Peer-set forward P/E	Booking 15.3× · Expedia 11.0× · Tongcheng 7.3× · Airbnb 25.3×	OTA leaders cluster 11–15×; China-internet complex 7–13×

Anchor	Range	Read
TCOM own NTM P/E history	12.4× (now, trough) · ~16.5× (3-yr mean) · 18.3× (pre-shock Dec-25)	spot at a 3-year low
Consensus-PT-implied	median PT RMB525 $\approx$ +57% $\Rightarrow$ ~17–20× forward	the Street prices a fuller re-rate than our base
Applied — Bear	10×	below the 12.4× trough, toward China-internet lows (Tongcheng 7×) — structural-impairment case
Applied — Base	15×	below TCOM's own 3-yr mean ($\approx$ Booking as a cross-check) — a partial re-rate
Applied — Bull	18×	TCOM's own pre-shock multiple — full normalisation

Equity bridge (base, FY2027E)

Component	Value
FY2027E clean EPS (RMB)	27.6
× Exit P/E	15×
= Value per ADS (RMB)	414
÷ FX (RMB/USD)	6.76
= Per-ADS value (USD)	\$61
Spot (2026-06-12)	\$46.47
Implied return	+32%
EV/EBITDA cross-check	~\$66 (operating biz ~7× FY27 EBITDA vs Booking ~11.7×; above the P/E base largely on the net-cash add-back)

Net cash (~RMB75bn [computed, 20-F FY2025 balance sheet]) + marked listed stakes (~RMB22.4bn [20-F FY2025 Note 7]) $\approx$ ~45% of market cap [computed] sit beneath this and define the downside floor.

Sensitivity (FY2027E PT, USD — exit P/E × SAMR take multiplier, S&M held at base)

	Take ×0.80	Take ×0.90	Take ×1.00
10× P/E	\$36	\$41	\$46
15× P/E	\$54	\$61	\$68
18× P/E	\$65	\$73	\$82

Clean two-way on the top two swing axes — both the SAMR axis (exit multiple × take multiplier) — with S&M held at base so the centre cell (\$61, 15× / ×0.90) is the base case [computed, model]. The named **bear (\$32)** and **bull (\$86)** sit just outside this grid because they additionally flex the S&M lever (bear 26% / bull 22% [model]), so they are slightly more extreme than the corner cells. The fact that both swing axes are SAMR is the one-axis-thesis structure made visible.

Appendix B — Key Model Assumptions

Segment revenue — base-case volume growth (% YoY)

Segment	FY2026E	FY2027E	Basis
Accommodation	+14%	+13%	vs +21% FY25; tapers as base scales; hotel demand + inbound/outbound mix
Transportation	+9%	+8%	mature, regulated thin take
Packaged tours	+12%	+10%	outbound recovery still completing
Corporate travel	+12%	+11%	steady share gain vs legacy TMCs
Other (ads/fintech/Skyscanner)	+28%	+24%	vs +33–39% history; fastest line; modest SAMR cap on ad/ranking fees

FY2026 accommodation has no TCOM 2026 print yet (Q1 reports 24 Jun); the +14% is anchored to May-Day-2026 domestic-trip data (+3.6%) and peer room-night growth (H World +13.6%) — the broad reopening boom is over, hotels still growing low-teens, with inbound/outbound mix on top [Xinhua; H World].

SAMR remedy — China-accommodation take multiplier (glide path)

	FY2026E	FY2027E (steady)	Justification
Base	×0.95 (–5%)	×0.90 (–10%)	probe still open + FY26 half-elapsed → partial; FY27 first full remedy year
Bear	×0.90 (–10%)	×0.80 (–20%)	structural commission cap
Bull	×1.00	×1.00	behavioral-only remedy

Exposed base = China-domestic accommodation ≈ 80% of the accommodation line, sized via the GMV method [est]: domestic hotel GMV ~RMB280bn × ~7.5% domestic take ≈ RMB21bn ≈ 80% of the RMB26.1bn FY25 accommodation revenue [CBNData; computed]. Only domestic China hotels are SAMR-exposed; outbound-on-Ctrip and Trip.com-international are not. The give-back is ~100%-margin (a lower rate on the same bookings), so it flows ~1:1 to operating income.

Operating expense — % of base-volume revenue (trending)

Line	FY2025A	FY2026E	FY2027E	Read
Product development	24.2%	23.5%	23.0%	operating leverage on a fixed engineering base
Sales & marketing (the Thesis-1 lever)	23.9%	24.0%	23.5%	base modest leverage; bull 22.0% / bear 26.0%
G&A	7.2%	7.0%	6.8%	fixed-cost leverage

Below the line, tax, share count

Item	FY2026E	FY2027E	Basis
Net interest income	2,400	2,600	rising on RMB105.8bn cash/investments
Income from affiliates	500	600	equity-method; conservative vs volatile history
Effective tax rate	15%	15%	FY2023–25 ran 13–15%
Diluted ADS (M)	690	680	authorised buyback net of SBC dilution
One-off investment gains	excluded	excluded	FY2025 RMB19.9bn excluded from clean EPS

Working archive in `working/`. Live model: `deliverables/tcom_model.xlsx`. Single source of truth for outputs: `working/valuation_outputs.yaml`.

Appendix C — Update history

Date	Event	Decision	Key change
2026-06-14	Initiation	LONG, PT \$61	—